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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Bias

May 1, 2019

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Last Week's S&P 500 Index:
+1.2%

Key takeaways

- *Our earnings estimates for the first quarter and full-year 2019 are above Wall Street Consensus.*
- *In our opinion, company analysts downgraded expectation too much as growth fears intensified last fall and into year-end.*

The consensus earnings estimates for the S&P 500 Index in the first quarter and for 2019 as a whole are below the levels we have projected. Many investors, both professional money managers as well as everyday individuals, are sitting on cash and have been watching stocks continue to climb higher from the Christmas Eve panic lows. For those of you who have not been closely watching (not our regular readers, of course), the S&P 500, at the time of this writing, has rallied a touch more than 25% from that closing level on December 24, 2018.

To say there has been an incredible move higher in a very short period of time isn't doing the year-to-date performance justice. And the market, rarely being forgiving, has offered investors scant opportunity this year to jump back on the train if you missed it the first time it left the station. A couple of 2% pullbacks have been about all the market has been willing to give. You can bet there are numerous equity portfolio managers who have the S&P 500 as a benchmark and are no doubt starting to get a little nervous. That is certainly one of the major reasons why, in our opinion, we are starting to see the early signs of investors jumping in and chasing the market as the indices grind to new record highs. The bottom line: It appears to us that the consensus as a whole has been holding onto a cautious bias since last fall. And that can often be a good contrarian indicator. Net equity fund flows have been negative (out of mutual funds) every month since last November.

So what is our Equity Strategy team's bias? For one, as mentioned, we think the consensus earnings estimate for the S&P 500 is too low. Coming into the first-quarter reporting season, our peers on Wall Street were calling for earnings to be down 3% to 4%. Our call was for earnings to be flat to maybe up a touch. Our analysis suggested that the consensus was too pessimistic when it came to Energy and Information Technology sector earnings. Our belief is that individual-company analysts in these sectors downgraded estimates too much in the fall and into the end of the year as the major equity indices stumbled. For example, it appears Energy sector analysts took their estimates meaningfully lower as oil fell into the low-$40s by the end of last year but have not yet taken into account the rebound in oil prices into the mid-$60s over the last month or so. These estimate downgrades have also affected the full-year 2019 consensus estimate. At last glance, our $173 estimate for the S&P 500 Index is also above the consensus.

We also continue to be biased toward sectors that are sensitive to the ebb and flow of the economic cycle. Given our economic call for modest gross domestic product (GDP) growth combined with modest inflation, our most favored sectors include Information Technology and Industrials. We also favor the Consumer Discretionary, Financials, and Energy sectors. In addition, as we move into the later stages of this cycle, we want to focus on sectors that rank well on quality measures such as return on equity (ROE), leverage (debt burden), and liquidity. We also see narrow analyst estimate dispersion in our favored sectors.

In short, we are biased toward positive stock market returns over the next 12 months.

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